

AXTI pitch deck

PITCH — AXTI — VERDICT

ADJUDICATED 2026-08-15 — NO POSITION. Do not buy at any price today; the reason this name was queued was a bad number, and the honest re-entry mark is the \$64.25 at which management itself sold 9.84 million shares.

What we believe

AXT (Nasdaq: AXTI) makes compound-semiconductor substrates — the polished crystal wafers that laser and optical-chip makers build on. Essentially all of the manufacturing sits in China, in a subsidiary called Tongmei that AXT controls but does not wholly own (outside investors hold about 14.5% of it, counting the redeemable piece). Demand for indium phosphide substrates is genuinely strong: revenue was \$47.6M in Q2-26, gross margin jumped from 8.0% a year ago to 44.9%, and the company guided Q3 to roughly \$66M and GAAP earnings of \$0.29–\$0.31 a share.

We believe four things:

- 1. The reason this name reached us was an artifact, not a dislocation.** It was flagged as being 43% below a 52-week high of \$143.16. That price appears in no actual trading session. The highest real intraday print in the window was \$90.39 on August 10. The “crash” was a summary statistic or an after-hours quote, not a market event. Separately, the –17% day on August 11 was a whole-sector move — competitors Coherent (–12%) and Lumentum (–7%) fell the same day on profit-taking ahead of earnings, with no company-specific news. Nothing was dislocated because no damage had been priced in.
- 2. The growth story is gated by a foreign government, and that gate cannot be handicapped.** Every non-China shipment needs a per-order export permit from China’s commerce ministry. Management stated on the earnings call that it cannot even apply for a permit before an order exists, and cannot predict grant timing. North America was \$0.4M — half of one percent — of first-half revenue. The US data-center channel that every bull cites does not yet exist in the revenue line.
- 3. The high margin and the volume ramp are the same variable pointing opposite ways.** A 44.9% gross margin on a commodity substrate is scarcity rent, and the scarcity exists *because* permits are restricted. If permits loosen, volume rises and margin falls back toward the 8–30% range it lived in. If permits tighten, margin holds and volume is capped. The bull model multiplies scarcity-era margins by scarcity-relieved volumes.
- 4. The stock is not cheap enough to be paid for carrying that risk.** At today’s \$56.42 tape and 65,573,212 shares, the market value is \$3.70B; net of \$748.8M of cash and investments, enterprise value is about \$2.95B, or roughly 11× annualized guided sales and about 47× annualized guided GAAP earnings. Our own bench’s fully-permitted 2027 scenario —

management's own "\$130M a quarter exiting 2027," carried through to earnings of \$1.39–\$2.06 a share — supports \$35–\$52 at a 25× multiple and \$49–\$72 at 35×. Today's price sits inside that band. You are being asked to pay the fully-permitted price for a company that is not yet permitted.

What the market believes

The market believes this is an AI-infrastructure supply story with a scarce input and a contracted backlog. That view is not stupid, and parts of it are filed fact:

- **A real, quantified backlog exists.** The Q2 10-Q discloses about **\$98.5 million of remaining contracted revenue** under long-term supply agreements, with roughly \$47.7M of advance payments required and \$12.7M received as of June 30 ([10-Q, 2026-08-13](#)). That is about a quarter and a half of revenue under contract.
- **A large customer put money down.** A six-year capacity-reservation agreement with Lumentum includes **two \$43.5M deposits**, the first due around September 8 ([8-K exhibit, 2026-07-29](#)).
- **Analysts are above the tape.** Five analysts, price targets \$55 low / ~\$91.6 average / \$125 high. Consensus for Q3 was \$38.7M before management guided to \$66M — a 70% beat versus the street's model.
- **Positioning is heavy and enthusiastic.** A \$632.5M follow-on, fresh institutional ownership filings, 19–30 million-share days, and leveraged single-stock ETFs on the name launched August 13.

So the market is not asleep on this. It is *crowded* — which for us is a reason to size small and be patient, not a reason to disbelieve the story.

Why we might have edge

Three places our work differs from the consensus write-up, with a named mechanism for each gap:

1. **We read the disclosure venues separately.** The load-bearing bull number — “approximately \$66 million in revenue for which we either already have a permit to ship or for which an export permit is not required” — exists only in the spoken earnings call. It is in no filing. More important: **that \$66M is also the Q3 revenue guidance.** It is one number, not two. The bull case counts it twice: once as guidance, once as independent proof that permits are not a constraint. Read in its own words it is the opposite — it is the *ceiling* on what can legally ship this quarter under permission already granted.
2. **We model permission, not capacity.** The street builds the \$130M/quarter target as a capacity ramp funded by the \$632.5M raise. Management's own language makes it a *licensing queue* — one that cannot be joined before customer orders exist. A capacity forecast cannot forecast an administrative queue. That is the specific mechanism behind our lower number.
3. **We looked at the physical sites.** Satellite imagery of the two main Chinese plants shows no observable construction against a \$600M capital raise: built-up area is flat at Kazuo (through May

2026) and *falling* at DingXing (through September 2025), with vegetation reclaiming ground, while thermal signatures at both sites trend down about 0.5 °C/year as revenue nearly tripled. We state the honest limit: the newest DingXing image predates the raise, so this is **no signal yet, not a refutation**. It is the cleanest forward tripwire we own on this name.

Why it might be priced in

Symmetrically, here is the case that we have no edge at all:

- **Every bear point except two is already in the trade press.** Export-permit sensitivity, the dilutive raise, the crowded positioning, and the insider Form 144 filed on the top-tick day are all public commentary. Only two findings are genuinely ours: the venue difference on the “already permitted” framing, and the \$143.16 phantom high. Our house rule is that a kill built mostly from consensus objections, at a fair price, argues for a small starter rather than a flat refusal — which is exactly what one of our two benches concluded.
- **The valuation gap is not large.** At 11× enterprise value to sales for a business growing revenue at triple digits with 45% gross margins, this is rich, not absurd. Our bench conceded that in writing.
- **The permit story could resolve favorably and we would never see it coming.** A single 8-K granting US-destination permits reprices the entire thesis, and we have no way to anticipate it.
- **The contracted backlog is real and we nearly missed it.** One of our two benches declared “no contractual revenue floor” without ever opening the revenue note that contains the \$98.5M figure. If we can miss the single strongest bull fact in the record, we should not be confident our net view is the differentiated one.

What could go wrong

Failure narrative 1 — the sovereign decision. NO MONITORABLE TRIPWIRE. China’s commerce ministry tightens, slows, or quietly deprioritizes gallium/indium substrate export permits — or grants them to a competitor first. Revenue above the permitted ceiling simply never ships. There is no filing that precedes this, no calendar date, no counterparty we can interview, and management has said plainly it cannot forecast permit timing. We would learn about it from a missed quarter, months late.

Unknown-unknown class: foreign-state administrative discretion. Decisions taken inside a government that owes us no disclosure, on no schedule, with no public docket, where the company itself is downstream of the information rather than a source of it. This class also covers retaliation dynamics: the very fact the bulls call insulation (0.5% North American revenue) is the thing that makes AXT a low-cost target if Beijing wants a gesture.

Failure narrative 2 — the margin was rent, and the rent expires. Permits loosen, volumes rise, and gross margin mean-reverts from 44.9% toward the 8–30% band. Revenue doubles and earnings do not, and the multiple that assumed both collapses. *This one is monitorable:* watch gross margin on a

materially larger volume base at the Q3 and Q4 prints. Margin holding above 40% on doubled volume refutes it.

Failure narrative 3 — the tape already knows something we do not. The stock fell roughly 31% between August 14 and September 1 with **no filings at all after August 19** and no company-specific headline either bench could locate. Either that is a speculative unwind, or information exists that has not been filed. If it is the latter, the backlog and the deposit both disappoint and a starter position is dead money. *Partially monitorable*: the September 8 deposit and the Q3 10-Q both resolve it — but by definition, after the fact.

The reflexive and structural leg. - *Our own size is not the risk.* On 19–30 million-share days, a 0.35–0.50% starter clears in seconds. We do not move this stock. It is the rare case where the impact math argues we are safe and everything else argues we are not. - *The reflexive risk is other people's leverage.* Leveraged single-stock ETFs on AXTI launched August 13, days before the 31% decline. Those products rebalance daily in the direction of the move, which fattens both tails on a name that already trades on retail enthusiasm. - *We would be bidding into our own predicted supply.* On June 4 the company raised its authorized share count from 70 million to 120 million — *after* the April raise had already closed. That leaves roughly 54 million authorized-but-unissued shares. Our own rule is never to bid into flow we ourselves predict, and here the predicted seller is the issuer. Any strength we buy into is strength the company can monetize. - *Doctrine interactions.* Crowded positioning caps our size and pushes entries into tranches; it does not by itself justify refusing the name. Because the binding risk is an unresolvable government decision rather than a scheduled event, selling options against this name is off the table — enthusiasm can run through any strike we would write, and this is a taxable book. Finally, the 14.5% outside interest in Tongmei means roughly a seventh of the operating company's economics is not ours; the thesis as pitched attributed 100% of it to AXT shareholders.

If this position loses money, the most likely reason will be that we paid the fully-permitted price for a company whose permits are granted one order at a time by a government that owes us no notice — and the loss will arrive as a quarter that simply did not ship, with no tripwire having fired first.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Stock is 43% off a \$143.16 52-week high	Pulled every session bar in the window	\$143.16 appears in no session bar . Window high is \$90.39 on 08-10; closes ran 88.58 → 73.81. The trigger was a summary-statistic or extended-hours artifact	No — trigger was an artifact
The –17% day was company news	Trade press for 08-10/08-11 optical selloff	Sector-wide (COHR –12%, LITE –7%), described as profit-taking and pre-earnings de-risking, eleven days <i>after</i> AXT's own print	No — cohort event
"\$66M already permitted or permit-	EDGAR full-text across the issuer's entire	Zero hits for "permit-exempt" against 155 for "permit". Absent from the 10-Q	Partly — see bench error below

Claim	How checked	Found	Confirmed?
exempt” is a filed disclosure	corpus; 10-Q; earnings press release	and the release. Present verbatim from the CFO on the scripted call	
That \$66M is an independent metric proving permits aren’t binding	Compared to the Q3 guidance number	It is the Q3 guidance (\$66.0M). One number, counted twice. It is the quarter’s ceiling under permission already granted	Confirmed — bull case double-counts
The Lumentum agreement is a revenue floor	Read the filed 8-K exhibit and the 10-Q	Deposits are applied as shipment credits until exhausted. No take-or-pay minimum, no shortfall or refund remedy anywhere. The exhibit’s drafting implies some annual commitment through 2031, but no remedy is disclosed	No — not a floor
The original brief cited “shortfall and refund provisions”	Searched both the 8-K exhibit and the 10-Q	Appear in neither document. These were invented upstream of the court	No — fabricated input
There is no contracted revenue at all	Revenue note of the 10-Q	\$98.5M of remaining contracted revenue under long-term supply agreements; \$47.7M of advances required, \$12.7M received at 6/30	Yes — and our red bench missed it entirely
AXT shareholders own the China operating company	10-Q ownership note	Outside interests in Tongmei, including redeemable, total 14.5% . The thesis leaked a seventh of the business	Confirmed — thesis overstated
Customer concentration is a risk	10-Q	H1-26 had no customer above 10% ; top five were 31%	Checked — not a risk here
Physical build-out corroborates the ramp	Satellite built-up-area and thermal series, both plants	No construction signature at either site; DingXing built-up area <i>fell</i> ; thermal trending down ~0.5 °C/yr. Newest DingXing scene predates the raise	No signal yet — not a refutation
Zero US-bound product flow	Customs consignee records for Tongmei and AXT Fremont	Empty. Consistent with \$0.4M / 0.5% North American revenue. An honest positive on disclosure, and confirmation the US channel has not started	Confirmed
BENCH ERROR — red overstated the venue kill	Blue re-checked the call transcript	Red killed the \$66M figure as existing “in no vetted venue.” The press release contains no guidance at all , so call-only forward disclosure is this issuer’s standing practice. A scripted CFO statement carries securities-law liability. This is a sourcing-grade complaint, not evidence of concealment	Red overstated — reclassified down
BENCH ERROR — red’s multiple	Adjudicator recomputed	Red published 17.6× sales. Corrected for the secondary’s proceeds, the adjudicator restated it to ~14× at the then-tape. Direction unchanged	Red wrong on level
BENCH ERROR — red misquoted the pack’s own tape stats	Automated field check	Red quoted “+100.0” for percent-off-low against the pack’s +18.8, and benched its valuation off an \$81.64 mark	Red sloppy on tape framing
BENCH ERROR — blue accused red of	Adjudicator pulled IBKR daily closes	08-13 close \$77.45; 08-14 close \$81.64. Blue’s “newer” data was one day stale ;	Blue’s accusation was wrong

Claim	How checked	Found	Confirmed?
misstating the tape		red's price was the correct freshest close. Not a source conflict — a stale build. The identical defect appeared on another name in the same batch	
OUR OWN ERROR — the adjudication's cash correction	Share count reconciliation	Shares went 55.34M → 65.57M during the first half, which <i>includes</i> the 9.84M offering shares. So the ~\$600M of proceeds is already inside the \$748.8M June-30 cash balance, and adding it again double-counts. Enterprise value is therefore <i>higher</i> than the adjudication stated — the name is slightly more expensive than the ruling gave it credit for. Verdict direction unaffected	Flagged — adjudication arithmetic likely double-counted
OUR OWN ERROR — “net price” label on the \$64.25 gate	Arithmetic on the offering	\$632.5M gross ÷ 9,844,357 shares = \$64.25, so \$64.25 is the gross offering price; net proceeds of ~\$600.1M imply about \$60.96 per share. The gate is stated at \$64.25 and stays there, but the word “net” in our sensor text is wrong	Flagged — label wrong, gate unchanged
The \$60M / \$130M target is quarterly company revenue	Cross-check against guidance	It cannot be: Q3-26 total revenue guides to ~\$66M, already above the “\$60M by end-2026” figure. It is almost certainly the indium-phosphide product line, which means anyone modeling \$130M/quarter as <i>company total</i> is understating 2027	Unresolved — units ambiguous both ways

PROPOSED ENTRY BANDS

There is no entry today. The verdict is no position at the current price. What follows are the reopen gates exactly as the court set them — these are the conditions under which the name comes back for a fresh hearing, not standing buy orders.

PRICE (valuation gate — the doctrinally correct instrument here): at or below **\$64.25**, the secondary print. This is not a derived fair value; it is management's own revealed mark, set weeks ago on 9.84M shares. Below it, finding 3 converts from a kill into an entry.

DATA: the **\$66M permitted-revenue figure** and the permit-cadence language appearing in a **liability-grade venue** — the 10-Q MD&A full text or the July 424B5 prospectus supplement. Blue is right that call-only guidance is this issuer's practice, but a number this load-bearing should be underwritten from a filed venue before it sizes anything.

EVENT (dated and gradeable): the Q3 10-Q showing the ~2026-09-08 Lumentum **\$43.5M deposit received as a customer-deposit liability**, TOGETHER WITH a filed

8-K granting a **US-destination InP permit**. Both legs — the cash proves the counterparty, the permit proves the channel.

DATA (resolve the units ambiguity before any model): the widely quoted “\$60M by end-2026 / \$130M by end-2027” is reported both as capacity and as quarterly revenue. It cannot be company revenue — Q3-26 total revenue guides to ~\$66M, already above it. It is almost certainly the InP line, which means anyone modelling \$130M/quarter as company total is UNDERSTATING 2027. Nail it from primary before the number is used in either direction.

An honest complication the reader must see. The ruling was stamped on 2026-08-15 against a \$77.45 tape. The current pack price is **\$56.42** — roughly 12% *below* the \$64.25 price gate. **The price gate is already satisfied.** That does not make this a buy: the gate’s own wording, and our armed sensor text, describe it as a *reopen-and-re-court* level, not an automatic purchase. The correct action is therefore to re-run the court now with a fresh tape rather than to lift an offer. Two things must be re-examined in that re-hearing: (a) whether the 31% decline since August 14 reflects information not yet filed — no filings exist after 08-19 and neither bench could locate a headline; and (b) whether a price below management’s own selling mark changes the valuation finding or simply reflects the same unhandicappable permit risk being repriced.

Sizing, if and only if that re-hearing clears. The dissenting bench proposed 0.35–0.50% of book, unlevered, limit at or below \$60, no options written against it, sized as an option on a contracted backlog rather than as a position. That figure is a starting point for the re-hearing, not an authorization. Nothing is authorized by this deck.

Catalyst dates. ~2026-09-08 — first Lumentum \$43.5M deposit due. ~2026-10-29 — Q3 print (derived from a data vendor, **not confirmed by the company**; no date-announcement 8-K on file). The binding calendar item — a permit grant — has no date at all.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 60.96 (deck-provisional: Net per-share proceeds (\$600.1M / 9,844,357) - the price management actually banked; the stricter and)
- filing watch: 8-K until 2027-02-28 (deck-provisional: Grant of a US-destination indium phosphide export permit - proves the growth channel legally exists; a)
- dated pack AXTI|2026-09-08: Confirm the deposit was received (customer-deposit or contract-liability line, Q3 10-Q) and confirm the counterparty. This is the single che
- dated pack AXTI|2026-10-29: Q3 print. Grade InP revenue against the \$30.7M Q2 record, GAAP EPS against the \$0.29-0.31 guide, whether the permitted/permit-exempt disclos

What remains unverified

- **The cause of the ~31% decline since August 14.** No filings after 08-19, no located company-specific headline. Neither bench could explain it. This is the single largest open question and it is the reason the re-hearing must happen before any purchase.
- **The units on “\$60M / \$130M.”** Capacity or quarterly revenue, product line or company total. Unresolved in both directions — resolving it against the bull case would *raise* 2027 estimates, not lower them.
- **The date the secondary closed.** One bench dated it April 21; the ruling described it as a July transaction closing after the June 30 balance sheet. The share-count reconciliation says the shares were issued within the first half, which is why we believe the cash is already on the balance sheet. This should be nailed from the prospectus supplement.
- **Whether the \$43.5M deposits are refundable, and whether any volume minimum exists.** The public exhibit is silent; the unredacted agreement is not available to us. Without it, the deposit is a financing, not a floor.
- **Parent-level versus Tongmei-level cash.** \$748.8M is disclosed in aggregate, of which \$33.1M is restricted and pledged against Chinese bank borrowings and \$298.6M sits in long-term investments. How much is actually available to AXT shareholders rather than trapped inside a partly-owned Chinese subsidiary under capital controls is not disclosed. We should not net the full balance against enterprise value without it.
- **The Q3 earnings date.** Vendor-derived as 2026-10-29 and not confirmed by any company announcement.
- **The truncated sensor text.** Three of four armed sensors are stored with their descriptions cut off mid-word. The intent is recoverable from context but the records should be rewritten.

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